Module 11
Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

HKAS 21 *The Effects of Changes in Foreign Exchange Rates* defines functional currency as the currency of the primary economic environment in which the entity operates. HKAS 21 further elaborates primary economic environment as the location in which the entity primarily generates and expends cash.

In determining the functional currency, the following primary factors are taken into consideration:

- The currency that mainly influences sales prices for goods (i.e. the currency in which sales prices are denominated and settled) and of the country whose competitive forces and regulations mainly determine the sales prices of its goods:

  Daffodil's sales prices are denominated and settled in an equal mixture of C$, Hong Kong Dollars and Euros. The sales prices are determined based on the three region's external environments. The 'revenue' indicators are inconclusive and are therefore not clear as to which currency should be the functional currency of Daffodil.

- The currency that mainly influences labour, material and other costs of providing goods (i.e. the currency in which such costs are denominated and settled):

  The majority of Daffodil's costs such as raw materials (sugar) as well as salaries and wages are denominated and settled in C$. The 'expense' indicator favours C$ to be its functional currency.

As the functional currency in the above analysis is not obvious, additional facts and circumstances should be gathered to determine the functional currency of Daffodil. Based on the requirements in HKAS 21, secondary factors are considered. The following information should therefore be collected and analysed:

- The currency in which funds from Daffodil's financing activities (i.e. issuing debt and equity instruments) are generated. For example, are the loans funded by Daffodil's banks denominated in C$?

- The currency in which receipts from Daffodil's operating activities are usually retained. For example, does Daffodil retain only a bank account in Cloverland and is its cash kept in C$?

Further, as Daffodil is a subsidiary of the Cardinal Group and should be regarded as a foreign operation under HKAS 21, it is crucial to consider whether the functional currency of Daffodil should be the same as the reporting entity of the group (i.e. Cardinal). This will in turn depend on whether the activities of Daffodil are carried out as an extension of Cardinal or whether its activities are carried out with a significant degree of autonomy. In making such assessment, Cardinal may need to consider:

- whether transactions with Cardinal are a high or a low proportion of Daffodil's activities;

- whether cash flows from the activities of Daffodil directly affect the cash flows of Cardinal and are readily available for remittance to it;

- whether cash flows from the activities of Daffodil are sufficient to service existing and normally expected debt obligations without funds being made available by Cardinal.

Answer 1b (i)

Statement of financial position as at 31 December 2020

	Daffodil C$'000	Rate	Daffodil HK$'000
ASSETS			
Property, plant and equipment and other non-current assets	50,000	7	350,000
Current assets	5,840	7	40,880
Total assets	55,840		390,880
EQUITY AND LIABILITIES			
Share capital	10,000	6.5	65,000
Retained earnings, 1 January 2020	39,000	6.5	253,500
Add: Profit for the year	2,600	6.8	17,680
Less: Dividends declared and paid	(1,000)	6.75	(6,750)
Retained earnings, 31 December 2020	40,600		264,430
Foreign currency translation reserve		*Balancing figure*	24,770
Total liabilities	5,240	7	36,680
Total equity and liabilities	55,840		390,880

Answer 1(b)(ii)

Cardinal Group
Consolidated statement of financial position as at 31 December 2020

	Cardinal Group excluding Daffodil	Daffodil		Adjustments Dr.	Adjustments Cr.		Consolidated
	HK$'000	**HK$'000**		**HK$'000**	**HK$'000**		**HK$'000**
ASSETS							
Property, plant and equipment and other non-current assets	995,000	350,000	*CJ1* *CJ2*	6500 500	1,400	*CJ3a*	1,350,600
Goodwill			*CJ1* *CJ4*	1,300 100			1,400
Investments	250,000	-			195,325	*CJ1*	54,675
Current assets	50,400	40,880					91,280
Total assets	1,295,400	390,880					1,497,955
EQUITY AND LIABILITIES							
Share capital	200,000	65,000	*CJ1*	65,000			200,000
Retained earnings, 1 January 2020	900,000	253,500	*CJ1*	253,500			900,000
Profit for the year	41,500	17,680	*CJ3a* *CJ7* *CJ5*	1,360 4,050 6,664	340	*CJ3b*	47,446
Dividends declared	-	(6,750)			6,750	*CJ7*	-
Retained earnings, 31 December 2020	941,500	264,430					947,446
Non-controlling interest			*CJ7*	2,700	129,350 6,664 10,046	*CJ1* *CJ5* *CJ6*	143,360
Foreign currency transaction reserve		24,770	*CJ3a* *CJ6*	40 10,046	375 10 100	*CJ2* *CJ3b* *CJ4*	15,169
Total liabilities	153,900	36,680	*CJ3b*	350	1,625 125	*CJ1* *CJ2*	191,980
Total equity and liabilities	1,295,400	390,880					1,497,955

	HK$'000	HK$'000
CJ1: Pre-acquisition elimination entries		
Dr. Share capital *(C$10,000K x 6.5)*	65,000	
Dr. Retained earnings *(C$39,000K x 6.5)*	253,500	
Dr. Property, plant and equipment (net book value) *(C$1,000K x 6.5)*	6,500	
Dr. Goodwill (W2)	1,300	
Cr. Deferred tax liability *(C$1,000K x 25% x 6.5)*		1,625
Cr. Investment		195,325
Cr. Non-controlling interest (B/S) (W1)		129,350

	HK$'000	HK$'000
CJ2: Update the fair value differences using closing rate		
Dr. Property, plant and equipment (net book value) *[C$1,000K x (7 – 6.5)]*	500	
Cr. Deferred tax liability *[C$1,000K x 25% x (7 – 6.5)]*		125
Cr. Foreign currency translation reserve		375

(W1): Non-controlling interest as at the acquisition date	HK$'000
Share capital	65,000
Retained earnings	253,500
Fair value adjustments – Machinery items with tax effect	4,875
Fair value of net identifiable assets	323,375
Proportionate share to non-controlling interest	40%
	129,350

(W2): Goodwill	HK$'000
Consideration *(C$30,050K x 6.5)*	195,325
Non-controlling interest (W1)	129,350
	324,675
Less: Fair value of net identifiable assets (W1)	(323,375)
Goodwill	1,300

Note: Alternatively, candidates may choose to use the business combination valuation reserves as a transitional account and prepare the following pair of entries:

	HK$'000	HK$'000
CJ1: Business combination valuation entries		
Dr. Property, plant and equipment (net book value) (C$1,000K x 7)	*7,000*	
Cr. Deferred tax liability (C$1,000K x 25% x 7)		*1,750*
Cr. Business combination valuation reserve [C$1,000K x (1 – 25%) x 6.5]		*4,875*
Cr. Foreign currency translation reserve		*375*

	HK$'000	HK$'000
CJ2: Pre-acquisition elimination entries		
Dr. Share capital (C$10,000K x 6.5)	*65,000*	
Dr. Retained earnings (C$39,000K x 6.5)	*253,500*	
Dr. Business combination valuation reserve (see CJ1)	*4,875*	
Dr. Goodwill (W2)	*1,300*	
Cr. Investment (C$30,050K x 6.5)		*195,325*
Cr. Non-controlling interest (B/S) (W1)		*129,350*

	HK$'000	HK$'000
CJ3: Extra depreciation expense relating to the fair value adjustments, with tax effects		
(CJ3a)		
Dr. Depreciation expense *(C$1,000K ÷ 5 x 6.8)*	1,360	
Dr. Foreign currency translation reserve	40	
Cr. Accumulated depreciation *(C$1,000K ÷ 5 x 7)*		1,400
(CJ3b)		
Dr. Deferred tax liability *(C$1,000K x 25% ÷ 5 x 7)*	350	
Cr. Income tax expense *(C$1,000K x 25% ÷ 5 x 6.8)*		340
Cr. Foreign currency translation reserve		10

	HK$'000	HK$'000
CJ4: Retranslation of goodwill		
Dr. Goodwill (W3)	100	
Cr. Foreign currency translation reserve		100

(W3): Translation gain	C$'000	Rate	HK$'000
Goodwill, 1 January 2020	200	6.5	1,300
Goodwill, 31 December 2020	200	7	1,400
Translation gain			100

		HK$'000	HK$'000
CJ5: Share of profits to non-controlling interest			
Dr. Non-controlling interest (P/L) (W4)		6,664	
Cr. Non-controlling interest (B/S)			6,664

(W4): Sharing of profits to non-controlling interest

Profit for the year	C$'000	2,600
Less: Extra depreciation expense (see CJ3a)		(200)
Add: Tax effects (see CJ3b)		50
Adjusted profit for the year (in C$'000)	C$'000	2,450
Rate		6.8
Adjusted profit for the year (in HK$'000)	HK$'000	16,660
Proportionate share to non-controlling interest		40%
	HK$'000	6,664

	HK$'000	HK$'000
CJ6: Share of translation reserve to non-controlling interest		
Dr. Foreign currency translation reserve (W5)	10,046	
Cr. Non-controlling interest (B/S)		10,046

(W5): Sharing of reserve to non-controlling interest

	HK$'000
Reserve arising from translation of financial statements	24,770
Add: reserve arising from CJ1	375
Less: reserve arising from CJ3 *(10K – 40K)*	(30)
	25,115
Proportionate share to non-controlling interest	40%
	10,046

	HK$'000	HK$'000
CJ7: Elimination of intra-group dividend distribution		
Dr. Dividend income *(C$1,000K x 6.75 x 60%)*	4,050	
Dr. Non-controlling interest (B/S) *(C$1,000K x 6.75 x 40%)*	2,700	
Cr. Retained earnings – dividends declared *(C$1,000K x 6.75)*		6,750

Answer 2

Item(s)	Category	Applicable accounting standard for measurement	General measurement principles
Cocoa tree in the cocoa plantation	Biological asset – bearer plant	HKAS 16	Measured using either the cost or revaluation model Note: As Daffodil uses the cost model to measure its property, plant and equipment, it presents its bearer plant at its cost less accumulated depreciation less accumulated impairment losses
Pods growing on the cocoa trees	Biological asset	HKAS 41	Measured at fair value less costs to sell, with such changes in fair value less costs to sell recognised in profit or loss
Harvested pods and cocoa beans	Agricultural produce	HKAS 41 HKAS 2	Measured at fair value less costs to sell at the point of harvest Treated as inventories after harvest and measured at the lower of cost and net realisable value

Answer 3

REPORT

Introduction

Daffodil entered into a forward contract to hedge against the risk arising from a highly probable forecast purchase of sugar. This report explains the accounting treatments if Daffodil has adopted hedge accounting assuming that the hedge is considered an effective hedge.

1. Forward contract

HKFRS 9 (2014) *Financial Instruments* states that a derivative is a financial instrument with all three of the following characteristics:

- Its value changes in response to the change in the underlying;
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors; and
- It is settled at a future date.

The forward contract qualifies as a derivative instrument as:

- Its value changes in response to the commodity price of sugar;
- It requires no initial net investment as no money was exchanged between the two parties on 1 November 2020; and
- It is settled at a future date (i.e. on 31 January 2021).

2. Hedge accounting

A hedged item, in accordance with HKFRS 9 (2014), refers to an item that is exposed to the specific risk(s) that an entity has chosen to hedge based on its risk management activities. Daffodil designated the highly probable forecast purchase of sugar as a hedged item. This qualifies as a highly probable forecast transaction as there has not yet been any purchase agreement signed with the supplier.

Such highly probable forecast transaction presents an exposure to variations in cash flows that could ultimately affect profit or loss. To hedge against the exposure to such variability in cash flows, Daffodil entered into a forward contract to buy 100 tons of sugar which qualifies as the hedging instrument. In accordance with HKFRS 9 (2014), Daffodil would account for this hedge transaction as a cash flow hedge.

2.1 At the inception of the hedge

Daffodil has to record the forward contract initially at its fair value. As the fair value of such forward contract was zero on 1 November 2020, there was no journal entry in the books of Daffodil.

2.2 Subsequent measurement of a cash flow hedge

In accordance with HKFRS 9 (2014), the hedging instrument is measured at its fair value. If the hedging instrument is a derivative, the effective portion of changes in fair value of the hedging instrument is recognised in other comprehensive income, typically accumulated in a cash flow hedge reserve.

The forward contract, which is a derivative as discussed in Section 1, was presented on the statement of financial position of Daffodil as at 31 December 2020 as an asset at C$860 as at 31 December 2020. The fair value change of C$860 (increasing from zero to C$860) was accumulated in the cash flow hedge reserve as other comprehensive income (refer to JE1 of Appendix I).

Before the settlement of the forward contract, the negative fair value change from 1 January 2021 to 31 January 2021, with an amount of C$160 (decreasing from C$860 to C$700), was adjusted to the cash flow hedge reserve (refer to JE2 of Appendix I).

On 31 January 2021, Daffodil settled the forward contract by receiving C$700 (refer to JE3 of Appendix I).

2.3 Purchase of sugar

HKFRS 9 (2014) states that if a hedged forecast transaction subsequently results in the recognition of a non-financial asset, the entity removes the accumulated amount from the cash flow hedge reserve and includes it directly in the initial cost of the asset.

The sugar purchased is classified as the inventories of Daffodil as it is in the form of materials to be consumed in the production process of chocolates. With reference to HKAS 2 *Inventories*, Daffodil recorded the initial cost of the sugar at the cost of purchase on 31 January 2021, which was at C$43,700 (refer to JE4a of Appendix I).

However, as the purchase of sugar resulted in the recognition of inventory on 31 January 2021 which was a non-financial asset, Daffodil transferred the accumulated amount from the cash flow hedge reserve, with an amount of C$700, to the initial cost of the inventory, which effectively reduced the cost of such raw materials to C$43,000 (refer to JE4b of Appendix I).

Appendix I

The following pairs of journal entries summarised the accounting impacts arising from the forward contract and the purchase of sugar:

31 December 2020

(JE1)	C$	C$
Dr. Forward contract	860	
Cr. Cash flow hedge reserve		860

31 January 2021

(JE2)	C$	C$
Dr. Cash flow hedge reserve	160	
Cr. Forward contract		160

(JE3)	C$	C$
Dr. Cash	700	
Cr. Forward contract		700

(JE4a)	C$	C$
Dr. Inventory – raw materials *(C$437 x 100)*	43,700	
Cr. Cash/trade payable		43,700

(JE4b)	C$	C$
Dr. Cash flow hedge reserve	700	
Cr. Inventory – raw materials		700

* * * END OF SECTION A * * *

<u>SECTION B – ESSAY / SHORT QUESTIONS</u> (Total: 50 marks)

Answer 4

Firstly, I would explain to Sean that under HKAS 40 *Investment Property* – investment property is property held to earn rentals or for capital appreciation or both, rather than for:

(a) use in the production or supply of goods or services or for administrative purposes; or

(b) sale in the ordinary course of business.

Owner-occupied property is property held for use in the production or supply of goods or services or for administrative purposes.

For properties that are subject to dual-use, a portion of the dual-use property is classified as an investment property only if the portion could be sold or leased out separately under a finance lease.

If a portion of the property cannot be sold or leased out separately under a finance lease, then the entire property is classified as an investment property only if the portion of the property held for own use is insignificant.

Property A

I would disagree with Sean's comment in respect of Property A.

HHH owns the property and is operating it partly as a hotel and partly as serviced apartments.

For the portion that is operated as a hotel, on top of providing lodging the auxiliary services provided are significant to the arrangement as a whole when they also include cleaning services, access to swimming pool and the gymnasium. (HKAS 40 para. 12)

Therefore, this portion is an owner-managed hotel that would be classified as an owner-occupied property.

Following the company's accounting policy, this would be accounted for under the cost model.

For the serviced apartments, apart from the minimum term being longer and unit price being lower in substance the services to be provided are similar to those for customers to the hotel.

Therefore, the portion related to the serviced apartments business would also be classified as owner-occupied property and accounted for under the cost model following HHH's accounting policy.

Property B

I would also disagree with Sean's comments for property B.

Under this arrangement,

- the hotel needs to be operated under HHH's brand and protocol;
- HHH needs to approve the hiring of the employees even though they are to be hired by OL;
- HHH has the right to terminate the contract early if OL does not comply with its standards;
- HHH has discretion on the pricing level;
- HHH shares 95% of the net operating profit.

Given HHH has primary responsibility to provide hotel services to the end customers (i.e. tenants) when it is operated under its own brand and protocol; bears inventory risk in the sense that the hotel room belongs to HHH and HHH's share of profit would be impacted by the occupancy rate directly; and has discretion in setting the price of the services, even though OL appears to bear all the income and expenses from the hotel operations, in substance HHH is outsourcing the day-to-day functions of operating the hotel to OL while retaining substantial operating risks and exposure to variations in the net cash flow of the operations.

As Property B is operated as a hotel providing services similar to Property A, with the auxiliary services being significant to the arrangement as a whole, the property is not an investment property – but should be treated as an owner-occupied property. Under the company's accounting policy, the cost model applies.

Answer 5(a)

Under Appendix A to HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*, disposal group is a group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction.

An entity shall classify non-current asset (or disposal group) as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. [HKFRS 5 para. 6]

For this to be the case, the asset (or disposal group) must be available for immediate sale in its present condition subject only to terms that are usual and customary for sale of such assets (or disposal groups) and its sale must be highly probable. [HKFRS 5 para. 7]

For a sale to be highly probable:

- appropriate level of management must be committed to a plan to sell the asset (or disposal group);

- an active programme to locate a buyer and complete the plan must have been initiated;

- the asset (or disposal group) must be actively marketed for sale at a price that is reasonable in relation to its current fair value;

- the sale should be expected to qualify for recognition as a completed sale within one year from the date of classification, except as permitted by HKFRS 5 para. 9; and

- actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

[HKFRS 5 para. 8]

An entity that is committed to a sale plan involving loss of control of a subsidiary shall classify all the assets and liabilities of that subsidiary as held for sale when the criteria set out in paragraphs 6 - 8 are met, regardless of whether the entity will retain a non-controlling interest in its former subsidiary after the sale. [HKFRS 5 para. 8A]

A discontinued operation is a component of an entity that either has been disposed of, or is classified as held for sale, and

(a) represents a separate major line of business or geographical area of operations,

(b) is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or

(c) is a subsidiary acquired exclusively with a view to resale.

[HKFRS 5 para. 32]

When FCL was acquired it is expected HWL would have recognised assets such as property, plant and equipment (e.g. training equipment, leasehold improvements), intangible assets (e.g. goodwill, the brand, customer lists) that would have been classified as non-current assets.

The assets and liabilities associated with the business of FCL would have been considered a disposal group when management contemplated its sale.

The fact pattern is silent about whether the disposal group is available for immediate sale in its present condition as of 30 June 2020 and 31 December 2020. Assuming that is the case the following discussion focuses on whether the sale is highly probable.

<u>30 June 2020</u>

As of 30 June 2020, not all the criteria for the sale to be considered highly probable were met and hence the disposal group should not be classified as held-for-sale.

Although the board has already committed to a plan to sell the disposal group (in February 2020), an active programme to locate a buyer and complete the plan was not initiated until August 2020. The deal was also subject to shareholders' approval which was not yet "highly probable".

As a result, the presentation of assets and liabilities related to the FCL disposal group would have been subject to the requirements of the respective financial reporting standards for those items (e.g. HKAS 1, HKAS 16, HKAS 38 etc.).

There is also no impact on the presentation of profit or loss of FCL's business in the consolidated financial statements of HWL.

If the financial statements are authorized for issue after the sale became highly probable which will result in the relevant disposal group being classified as held-for-sale in the next set of financial statements, given the significance of FCL to the group HWL shall disclose the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made.

31 December 2020

As of 31 December 2020, the sale was highly probable and disposal group satisfied the criteria to be classified as held-for-sale as follows:

- appropriate level of management was already committed to a plan to sell the disposal group from February 2020 and shareholders' approval was obtained in July 2020;

- an active programme to locate a buyer and complete the plan have been initiated from August 2020;

- the disposal group is actively marketed for sale at its current fair value, assuming market condition at year end is similar to that in November 2020 when the selling price was dropped;

- the sale was expected to qualify for recognition as a completed sale within one year from the date of classification; and

- actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn – as evidenced by management willing to drop the price in November 2020.

As a result, the assets and liabilities related to FCL's business would have been classified as held-for-sale on the consolidated statement of financial position under current assets and current liabilities – with comparatives not being restated.

This classification is regardless of the fact that management is retaining 10% of the shareholdings in FCL because control is lost.

In addition, even though the contract with EasyLife Inc. was signed in April 2021 and the transaction being concluded in May 2021 (i.e. after the year-end), the sale already became highly probable before the year end and hence it does not impact the conclusions above.

In HWL' consolidated statement of comprehensive income, profit or loss from FCL would have been presented under "discontinued operations", with comparatives being restated.

Answer 5(b)

When HWL losses control over FCL, it recognises the 10% investment retained in FCL at its fair value when control is lost and subsequently accounts for it in accordance with HKFRS 9. That fair value shall be regarded as the fair value on initial recognition of a financial asset in accordance with HKFRS 9. [HKFRS 10 para. 25(b)]

The retained investment in FCL is an equity investment.

Under HKFRS 9, generally investment in equity investment would have been measured at fair value through profit or loss. However, given the investment is to be held as strategic investment, it is neither held for trading nor contingent consideration recognised by an acquirer in a business combination to which HKFRS 3 applies, HWL may also make an irrevocable election at initial recognition to present subsequent changes in fair value in other comprehensive income. [HKFRS 9 para. 4.1.4, 5.7.5]

Answer 6(a)

Recognition of provision for onerous contract

I disagree with Fred's view of recognising provision for onerous contracts.

HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* contains the requirements on onerous contracts.

Since the flagship store is under a lease, under para. 5(c) of HKAS 37, the standard does not cover provisions in regards to leases that become onerous after the commencement date of the lease.

After the commencement date of the lease, FL should appropriately reflect an onerous lease contract by applying the requirements of HKFRS 16 *Leases*.

As a lessee, FL will determine and recognise any impairment of right-of-use assets by applying HKAS 36 *Impairment of Assets.*

Answer 6(b)

Possible accounting implications on FL's statement of financial position as a result of economic downturn:

In addition to right of use asset as discussed above, FL would probably also have property, plant and equipment recognised on its statement of financial position for leasehold improvements.

HKAS 36 would be applicable in determining whether any impairment loss needs to be recognised, especially when there is probably higher chance for the existence of impairment indicators.

FL would also need to consider if its inventories need to be written down to the lower of its costs and net realisable value in accordance with HKAS 2 *Inventories.*

FL would also need to assess, especially when there is economic downturn and possibly impairment being recorded, whether the company would breach any loan covenants which might result in for example:

- non-current liabilities being reclassified to be current

- going concern issue

If it turns out FL has going concern issue, then the financial statements will not be prepared on a going concern basis.

(Any other valid points are acceptable)

<u>Answer 6(c)</u>

Both Fred and Alissa have to comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behavior as set out in 100.5 of the Code of Ethics for Professional Accountants (the Code).

However, Fred’s behavior is unethical.

Fred as a professional accountant in business is expected to encourage an ethics-based culture in the organisation. (300.5 of the Code)

As opposed to encouraging his staff, Fred is putting Alissa down by imposing intimidation threat over her for escalating the issue. His behavior is not professional.

By saying that the issue was rectified after the year end and therefore they could leave it, Fred is showing that either he did not realise that the long-term loan would need to be reclassified to be current (i.e. being incompetent), or that his integrity is questionable when he aims to hide the error when the announcement is due two days away.

He is also not objective when he allows their boss' preference for not favoring "last minute" surprises impact his judgment of whether they need to do anything about the financial statements as a result of the breach.

Alissa was demonstrating she had integrity in bringing up the issue to Fred.

She could consider escalating the issue further up the management.

If there is no resolution, she might consider seeking legal advice and even resign so as not to be associated with misleading information.

* * * END OF EXAMINATION PAPER * * *